

HB 2586 -- CREDIT UNIONS

SPONSOR: Casteel

COMMITTEE ACTION: Voted "Do Pass by Consent" by the Standing Committee on Financial Institutions by a vote of 14 to 0. Voted "Do Pass-Consent" by the Standing Committee on Consent and Procedure by a vote of 7 to 0.

Currently, Chapter 370, RSMo provides that membership shares issued by a credit union must have a par value of not less than \$25 and not more than \$100.

This bill lowers the minimum par value of membership shares from \$25 to \$1, while maintaining the maximum par value of \$100.

This bill also authorizes members of a board of directors to participate in board meetings by telephone or other electronic means, provided that all participating members can communicate with each other simultaneously.

PROPOSERS: Supporters say that credit unions are member owned and profits are returned to the members by lower loan interest rates, lower fees, and more options. Lowering the minimum dollar amount to have and open a credit union account from \$25 to \$1 will help individuals have access to that \$24 when they need it. Also, by lowering this minimum, it will save employees of the credit unions and the customers time by not opening and closing accounts in order for individuals to have access to the \$24 that they cannot touch without closing their account or accruing a fee. The bill also allows for credit union boards to meet online, which will allow for the bank's internal regulatory authority to function.

Testifying in person for the bill were Representative Casteel and Laura Eblen, Missouri Credit Union Association.

OPPOSERS: There was no opposition voiced to the committee.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.